

MediaTek (2454 TT)

Datacenter Execution Reinforces Long-Term Thesis

Maintained **Buy**
Target price NT\$ 6,420

Maintain TP at NT\$6,420: Following the broad tech sell-off and earlier concerns over Qualcomm's LPDDR5 AI accelerator, MTK has underperformed the TAIEX by 15.5ppt over the past two months. We remain constructive, however, as today's higher ASIC guidance reinforces our view that its datacenter business is tracking well. We continue to expect structural share gains in volume, value and workloads, supported by MTK's execution, advanced packaging capabilities and the Triggerfish, extending its position from training into inferencing. We reiterate our *May 27 report* on MTK's likely 2nd datacenter ASIC win with SpaceX for late-2028. Factoring in the results, guidance and higher ASIC revenue, we raise 2026E/2027E EPS by 4%/1% and keep NT\$6,420 TP, on 45x 2027E EPS (17x 2028E EPS).

Mgmt raised ASIC market share target: Mgmt raised 2026's datacenter ASIC guidance from \$2bn to higher than \$2bn, and market share target from 10-15% to 15-20% in 2027 based on \$80bn TAM. We reiterate our bullish datacenter ASIC revenue forecast of \$2,8bn/\$18bn/\$73bn in 2026/27/28, backed by: (1) execution record in Zebrafish which is expected to start shipments 2-3 months earlier than Sunfish, (2) ~180k CoWoS in 2027, (3) Intact EMIB-T yields and substrate marker's support, evidenced by Unimicron (3037 TT)'s comments on July 29; (4) Triggertish which features large SRAM (4x 250MB) to carry high ASP and to boost share gains in inferencing; (5) 2nd CSP ASIC. Looking further ahead, we reiterate our view than MTK's Icefish is by now the only official v10 project, suggesting MTK's earlier engagement, vs. U.S. competitors.

Smartphone business to be better than feared: Mgmt expect mobile business to be down slightly QoQ in 3Q26 due to the transition for the 2nm SoC in 4Q26. Due to MTK's earlier control on wafer production, we believe the inventory level remains healthy. Backed by improved brand equity, we expect MTK to gain shares, by its new 2nm SoC, to not only Samsung's FE but also OPPO/Vivo's Ultra models in late-2026/early-2027. Given cost inflation, the pricing outlook will remain favorable. On the other hand, the earlier edge-AI cooperation with a leading U.S. model maker which is in lawsuit with Apple could be on hold.

Results and guidance largely inline: Continued in page 2.

Risks: (1) AI demand slowdown; (2) consumer demand; (3) peer competition.

Profit forecast

	2024	2025	2026E	2027E	2028E
Revenue (m)	530,586	595,966	714,339	1,330,006	3,188,551
Revenue YoY (%)	22.4	12.3	19.9	86.2	139.7
Net profit (m)	106,387	105,319	111,197	228,232	595,737
Net profit YoY (%)	38.2	-1.0	5.6	105.2	161.0
EPS (NT\$)	66.9	66.2	69.8	143.4	374.2
P/E	39.0	39.5	50.9	24.8	9.5
ROE (%)	26.3	25.7	28.0	58.0	144.4

Source: Company data, GF Securities (Hong Kong) Brokerage.

Please be sure to read the disclosures at the end of this report carefully.

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Earnings Forecast

2Q26 Results a modest beat on revenue

MTK delivered a modest 2Q26 beat, with revenue reaching NT\$152.2bn (+2.0% QoQ, +1.2% YoY), exceeding the high end of guidance, while gross margin of 46.2% landed at the midpoint of guidance and EPS came in at NT\$15.28. The upside was driven by continued strength in Smart Edge (+19% QoQ), which more than offset weakness in the smartphone business amid rising BOM costs.

3Q26 Guidance Better than Feared but inline with our Forecast

Mgmt guided 3Q26 revenue to NT\$152.2–159.8bn (flat to +5% QoQ, +7–12% YoY) with gross margin of 46.0% $\pm$ 1.5%, expecting Smart Edge Platforms to grow at a mid-to-high single-digit QoQ pace while flagship smartphone SoC shipments largely offset continued softness in mobile segments. Mgmt also reiterated that 2026 USD revenue growth should reach the high end of its high-single-digit target range, supported by pricing actions to pass through higher supply-chain costs and continued AI

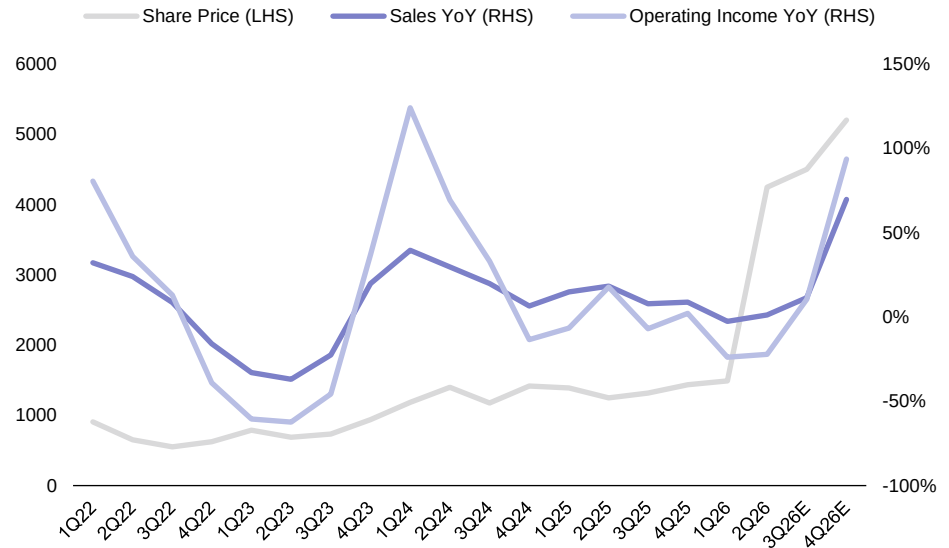
For full year, mgmt. lifted ASIC revenue guidance from \$2bn to higher than \$2bn.

Figure 1: MTK 2Q26 Results Review

NTD mn	2Q26	1Q26	QoQ	2Q25	YoY	GFHK	Diff	Cons.	Diff
Revenue	152,183	149,151	2.0%	150,369	1.2%	146,166	4.1%	146,685	3.7%
Gross profit	70,308	69,055	1.8%	73,878	-4.8%	67,734	3.8%	67,710	3.8%
OPEX	47,440	46,165	2.8%	44,499	6.6%	45,311	4.7%	44,464	6.7%
Operating profit	22,868	22,891	-0.1%	29,379	-22.2%	22,423	2.0%	21,917	4.3%
Pre-tax profit	27,962	27,019	3.5%	33,228	-15.8%	26,551	5.3%	26,191	6.8%
Net profit	24,335	24,154	0.7%	27,849	-12.6%	21,815	11.6%	22,429	8.5%
EPS (NT\$)	15.28	15.17	0.8%	17.50	-12.6%	13.7	11.6%	14.1	8.4%
					ppt.			ppt.	ppt.
Gross Margin	46.2%	46.3%	-0.1	49.1%	-2.9	46.3%	-0.1	46.2%	0.0
Operating Margin	15.0%	15.3%	-0.3	19.5%	-4.5	15.3%	-0.3	14.9%	0.1
Pretax margin	18.4%	18.1%	0.3	22.1%	-3.7	18.2%	0.2	17.9%	0.5
Net margin	16.0%	16.2%	-0.2	18.5%	-2.5	14.9%	1.1	15.3%	0.7

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: MTK share price (NT\$), vs. revenue YoY (%), OP YoY (%)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: Google TPU Roadmap

	TPU v5e	TPU v5p	TPU v6e	TPU v7 Ironwood	TPU 8i	TPU 8t	TPU v9x	TPU v9x	TPU v8.5	TPU v10ax	TPU v10x
Code name	Viperlite	Viperfish	Trillium / Ghostlite	Ghostfish	Sunfish	Zebrafish	Humufish	Triggerfish	Whalefish	Merope	Icelfish
Time	2Q23	1Q24	4Q24	4Q25	4Q26	4Q26	4Q27	4Q27	1Q28	3Q28	4Q28
Design Service - compute	BRCM	BRCM	BRCM	BRCM	BRCM	GOOG	GOOG	GOOG	BRCM	BRCM or MRVL	GOOG
Design Service - I/O	BRCM	BRCM	BRCM	BRCM	BRCM	MTK	MTK	MTK	BRCM	BRCM Or MRVL	MTK
Design Service - back-end	BRCM	BRCM	BRCM	BRCM	BRCM	MTK	MTK	MTK	BRCM	BRCM or MRVL	MTK
Compute	1*N5	1*N5	1*N5P	2*N3E	2*N3P	1*N3P	(4*N2)*2	(4*N2)*2	2x Sunfish	SF2	N2P*8+N2P *16
I/O				1*N5	2*N3P	1*N3P	(2*N3)*2	(2*N3)*2		SF2	N2P*6
On-chip SRAM					384MB	128MB		4*250MB			
Memory	2*HBM2e 4hi	6*HBM2e 4hi	6*HBM3 8hi	8*HBM3e 12hi	8*HBM3e 12hi	6*HBM3e 12hi	(6*HBM4e 8Hi)*2	(6*HBM4e 8Hi)*2			16*HBM5 12hi
Memory Spec	16GB	95GB	32GB	192GB	288GB	216GB	288GB	288GB			
Memory BW (TB/s)	0.82	2.77	1.64	7.4	8.6	6.5					
TDP (W)	300	550	390	980							
Back-end	CoWoS-S	CoWoS-S	CoWoS-S	CoWoS-S	CoWoS-L	CoWoS-S	EMIB-T	EMIB-T		CoWoS- S/SOIC	EMIB-T or CoWoS
Pod	256	8960	256	9216	1152	9600					

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 4: MTK's TPU earnings assumptions

	2026	2027	2028
Revenue analysis (Units in m, USD)			
TPU v8x (A5921/Zebrafish)	0.5	3.4	0.5
TPU v8e (Humufish)		0.0	2.3
TPU v9x (Triggerfish)		0.0	2.3
TPU v8x - USD	5,500	5,418	5,125
TPU v8e - USD		13,000	12,935
TPU v9x - USD			17,910
Revenue (USD bn)	2.8	18.4	73.4
Revenue (NTD bn)	88	589	2348
%	12%	44%	74%
Net margin	18%	19%	18%
Net earnings (NTD bn)	16	112	411
%	14%	49%	69%
EPS (DC ASIC, NTD)	10	70	258

Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings revision

By factoring in results, guidance and slightly higher ASIC revenue, we fine tune EPS estimates by +4%/+1% in 2026E/2027E and maintain TP at NT\$6,420, still based on a 45x 2027E EPS or 17x 2028E EPS. We estimate the ASIC revenue to be \$2.8bn/\$18bn/\$73bn in 2026/27/28.

Figure 5: Earnings revision

NTD m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	595,966	687,364	714,339	1,305,124	1,330,006	4%	2%
Gross profit	283,080	312,192	323,993	565,298	576,471	4%	2%
EBIT	103,470	106,332	112,548	245,173	251,779	6%	3%
Pre-tax Income	124,888	122,846	126,854	262,742	264,351	3%	1%
Net profit	105,319	106,488	111,197	227,075	228,232	4%	1%
EPS (NT\$)	66.2	66.9	69.8	142.6	143.4	4%	1%
Key ratios (%)							
Gross margin	47.5%	45.4%	45.4%	43.3%	43.3%		
Operating margin	17.4%	15.5%	15.8%	18.8%	18.9%		
Pre-tax margin	21.0%	17.9%	17.8%	20.1%	19.9%		
Net profit margin	17.7%	15.5%	15.6%	17.4%	17.2%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 6: MTK's P&L forecast

(NTD m)	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Sales	595,966	149,151	152,183	158,226	254,779	714,339	279,122	339,178	363,346	348,361	1,330,006
COGS	312,886	80,096	81,875	84,663	143,713	390,347	156,964	191,179	206,687	198,706	753,536
Gross profit	283,080	69,055	70,308	73,563	111,066	323,993	122,159	147,998	156,659	149,655	576,471
Opex	179,611	46,164	47,440	49,050	68,790	211,445	72,572	84,794	87,203	80,123	324,692
Operating profit	103,469	22,891	22,868	24,513	42,276	112,548	49,587	63,204	69,456	69,532	251,779
Non-op profit	21,419	4,129	5,094	2,042	3,042	14,306	3,143	3,143	3,143	3,143	12,572
Pre-tax profit	124,888	27,019	27,962	26,555	45,318	126,854	52,730	66,347	72,599	72,675	264,351
Tax & Minority	19,569	2,865	3,627	3,457	5,708	15,657	6,598	11,549	8,982	8,991	36,119
Net Income	105,320	24,154	24,335	23,098	39,609	111,197	46,132	54,798	63,617	63,684	228,232
EPS (NTD)	66.2	15.2	15.3	14.5	24.9	69.8	29.0	34.4	40.0	40.0	143.4
Outstanding shares	1,592	1,592	1,592	1,592	1,592	1,592	1,592	1,592	1,592	1,592	1,592
Margin analysis											
Gross margin	47.5%	46.3%	46.2%	46.5%	43.6%	45.4%	43.8%	43.6%	43.1%	43.0%	43.3%
Operating margin	17.4%	15.3%	15.0%	15.5%	16.6%	15.8%	17.8%	18.6%	19.1%	20.0%	18.9%
Pre-tax margin	21.0%	18.1%	18.4%	16.8%	17.8%	17.8%	18.9%	19.6%	20.0%	20.9%	19.9%
Effective tax rate	15.7%	10.6%	13.0%	13.0%	12.6%	12.3%	12.5%	17.4%	12.4%	12.4%	13.7%
Growth (YoY%)											
Sales	12%	-3%	1%	11%	70%	20%	87%	123%	130%	37%	86%
Operating profit	1%	-24%	-22%	10%	93%	9%	117%	176%	183%	64%	124%
Net income	-1%	-18%	-13%	-8%	73%	6%	91%	125%	175%	61%	105%
EPS	-1%	-18%	-13%	-8%	73%	6%	91%	125%	175%	61%	105%
Product mix (%)											
Mobile	55%	49%	41%	39%	28%	38%	27%	23%	22%	25%	24%
Smart edge	40%	46%	53%	55%	68%	57%	69%	74%	75%	72%	73%
PMIC	5%	5%	6%	6%	4%	5%	4%	3%	3%	3%	3%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Valuation and Recommendation

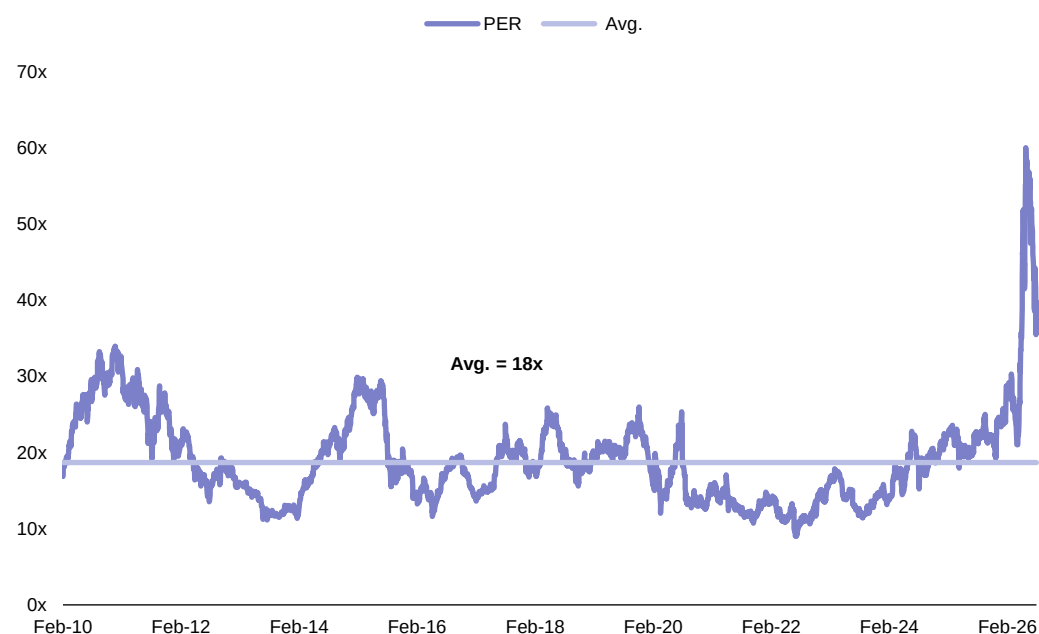
Maintain Buy with TP of \$6,420

We rate MTK (2454 TT) Buy and set our TP at NT\$6,420 which is based on 45x our 2027E EPS estimate or 19x 2028E EPS. We raise our 2027 multiple to reflect higher earnings growth in 2027/2028, but it suggests an undemanding valuation for 2028. MTK's P/E traded at an average of 18x since 2021 but was up to an average of 22x since 1Q24 when the company starts to see the AI opportunity. Our target multiple for 2027 is much higher than the mid-cycle level given Google TPU momentum and our bullish estimate of its 2027E/2028E earnings growth.

We adopt 2027 and/or 2028 as valuation basis to capture its datacenter ASIC potential which is the key market focus and expect the business to take off starting 2027. We adopt P/E methodology as we believe the market now mainly focuses on the company's earnings outlook, and we usually apply P/E method to downstream firms.

Fundamentally, we are positive on MTK, as it is well-positioned to expand its value position in smartphone SoCs amid the edge-AI trend, as well as the expansion into datacenter/enterprise ASICs and smart automotive solutions. The datacenter ASIC business is the key for upside, in our view, and we expect TPU to provide a volume boost for MTK, while the market will continue to monitor for its execution.

Figure 7: MTK's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

(1) AI demand slowdown; (2) consumer demand; (3) peer competition.

Balance Sheet					NTD mn
	2024	2025	2026E	2027E	2028E
Current assets	351,025	397,456	437,250	734,093	1,692,029
Cash and cash equivalents	208,967	237,128	224,409	257,957	411,231
Inventory	44,713	62,121	88,069	218,631	611,503
Accounts Receivable	58,414	67,235	87,647	188,384	503,584
Other current assets	38,931	30,973	37,125	69,121	165,711
Non-current assets	346,842	346,329	357,651	367,824	376,889
Long-term equity investment	169,970	168,912	178,912	188,912	198,912
Fixed assets	56,917	60,427	61,750	61,922	60,987
Other long-term assets	119,955	116,990	116,990	116,990	116,990
Total assets	697,868	743,785	794,901	1,101,917	2,068,918
Current liabilities	266,902	303,350	365,384	678,924	1,629,814
Accounts Payable	40,777	48,710	60,769	117,310	290,071
Short-term borrowings	8,919	4,481	4,768	3,338	1,335
Other current liabilities	217,207	250,159	299,847	558,276	1,338,408
Non-current liabilities	25,910	31,240	31,676	29,507	26,469
Long-term Debt	-	6,795	7,232	5,062	2,025
Other non-current liabilities	25,910	24,444	24,444	24,444	24,444
Total liabilities	292,812	334,590	397,060	708,430	1,656,284
Total Equity	405,055	409,195	397,840	393,487	412,634
Share Capital	16,017	16,039	16,039	16,039	16,039
Additional Paid-in Capital	80,703	65,023	40,023	-9,977	-109,977
Retained earnings	299,907	319,539	333,184	378,831	497,978
Minority interests	8,428	8,594	8,594	8,594	8,594
Total Liabilities & Equity	697,868	743,785	794,901	1,101,917	2,068,918

Income Statement					NTD mn
	2024	2025	2026E	2027E	2028E
Revenue	530,586	595,966	714,339	1,330,006	3,188,551
Cost of sales	267,200	312,886	390,347	753,536	1,863,259
Gross profit	263,386	283,080	323,993	576,471	1,325,292
Operating Expense	160,974	179,610	211,445	324,692	654,069
Operating profit	102,412	103,470	112,548	251,779	671,222
Interest Income	11,150	10,819	6,923	7,235	10,038
Interest Expense	453	652	756	663	382
Net other Non-op. Income/(Loss)	6,410	11,251	8,139	6,000	6,000
Pre-tax profit	119,519	124,888	126,854	264,351	686,878
Income tax	12,378	18,770	14,625	35,039	90,061
Profit for the year	107,141	106,118	112,229	229,312	596,817
Minority interest	754	798	1,032	1,080	1,080
Net profit to ord. equity	106,387	105,319	111,197	228,232	595,737
EPS (NT\$)	66.9	66.2	69.8	143.4	374.2

Cash Flow Statement					NTD mn
	2024	2025	2026E	2027E	2028E
Operating cash flow	141,801	155,333	144,157	304,780	769,951
Profit for the year	106,387	105,319	111,197	228,232	595,737
Depreciation & amortization	20,936	22,974	23,325	24,475	25,583
Change in working capital	11,573	22,616	9,235	51,674	148,232
Others	2,905	4,424	400	400	400
Investing cash flow	-26,534	-26,885	-35,048	-35,048	-35,048
Capex	-16,186	-16,846	-15,009	-15,009	-15,009
Change in investment	12,522	-6,674	-9,639	-9,639	-9,639
Others	-22,870	-3,365	-10,400	-10,400	-10,400
Free cash flow	115,268	128,449	109,110	269,733	734,904
Financing cash flow	-77,368	-100,288	-121,828	-236,185	-581,629
Change in Capital	-75,537	-101,180	-122,552	-232,585	-576,589
Net Change in Debt	1,093	2,357	724	-3,600	-5,040
Others	-2,924	-1,465	-	-	-
Exchange influence	8,292	-5,770	-	-	-
Net increase in cash	37,900	28,161	-12,718	33,547	153,274

Key Financial Ratios					
	2024	2025	2026E	2027E	2028E
Growth					
Revenue growth	22.4	12.3	19.9	86.2	139.7
Operating profit growth	27.0	7.5	14.5	77.9	129.9
Net profit growth	38.2	-1.0	5.6	105.2	161.0
Profitability					
Gross profit margin	49.6	47.5	45.4	43.3	41.6
Operating Profit Margin	19.3	17.4	15.8	18.9	21.1
Net profit margin	20.1	17.7	15.6	17.2	18.7
Key Ratio					
ROA	15.2	14.2	14.0	20.7	28.9
ROE	26.3	25.7	28.0	58.0	144.4
Stability					
Gross debt/equity	0.0	0.0	0.0	0.0	0.0
Interest Coverage	226	159	149	380	1,756
Current Ratio	1.3	1.3	1.2	1.1	1.0
Quick Ratio	1.1	1.1	1.0	0.8	0.7
Net debt/equity	Net Cash	Net Cash	Net Cash	Net Cash	Net Cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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